

To begin your Capstone lab presentation preparation, build on the Company Profile you submitted earlier and use the questions below to guide your analysis.

This deliverable will help prepare teams for both the Capstone lab and your final company assessment.

Before you start this assignment, be sure to consult the preparation guidance for the Capstone Project Lab. Economics, Strategy and Marketing might each be relevant for any of your key assumptions and might have greater or lesser impact depending on which company you have chosen and the market conditions for your company. All three subjects are related and sometimes correlated to one another. Your analysis of each subject may affect assessment of the other subject areas. Make sure you consider and acknowledge any factors that make your assumptions inherently uncertain.

- Briefly discuss the competitive environment in your industry. What are the main products? Who are the target customers? Who are the main competitors? What is your company's market share? Are there barriers to entry? Is there a scarce resource and does your company control it? How are prices determined – is your company a price taker or do they have the ability to control prices?
- Airbnb provides a website to connect users with a paid for experience. The website gives users a clear listing of available housing, connecting the host with the potential hostee. This website covers potential liabilities for both sides of the transaction, as well as all of the payment and regulations needed to obtain an enjoyable experience. This is the process that Airbnb has streamlined and now can provide to anyone, and includes travel-related services. All services include Airbnb Application, Hotel Reservations, and Corporate Travel Service, comprehensively covering any traveling needs.
- Airbnb targets a diverse consumer base with no specific demographics, but with connecting ideals. This includes those looking for authentic travel experiences as well as hosts looking to monetize their homes. That is the only consistency between consumers given that Airbnb operates in many different countries and can provide a wide range of personalized housing options.
- Main competitors are Booking Holdings Inc., Expedia Group Inc., Google LLC, MakeMyTrip Ltd., Trip.com, Group Ltd, and TripAdvisor Inc.
- Airbnb has about a 44% market share in the global short-term rental market, placing it very high against its competition.
- Barriers to entry are mostly limited to regulatory difficulties. Airbnb's model is highly dependent on technology and on having a model that customers and partners trust - this information is instrumental to their success, and any competitors looking to seriously enter the market will have a hard time coming up

with a similar model due to the patents, trademarks, and copyrights Airbnb has implemented. Airbnb also has brand loyalty, so incoming competitors would need to have a very strong model to sway consumers.

- There is not a scarce resource but because Airbnb has such strong brand recognition, most hosts and consumers would look there first, giving Airbnb more options for housing locations and options.
 - Airbnb's pricing is based on the house, number of guests, location, and length of stay. The prices are in accordance with profit for the host and for Airbnb while still being in an accessible range. They are the price maker/have the control in their relationships.
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- What drives revenue in your company's industry? What are the drivers of demand? Is demand elastic or inelastic? Recall total revenue is $TR = P \cdot Q$. Is your company well positioned to take advantage of changes of demand, and/or does your company have the ability to charge above-competitive prices? What strategies does your company employ to maintain or gain market share?

Revenue in the hospitality industry is primarily driven by room pricing and occupancy rates, which differ by time of year and location. Airbnb's revenue is driven by the quantity of interactions and bookings that are made on their site, as they charge a service fee for each booking. Demand is determined by time of the year (typically more travel around holidays), and general economic conditions and global political conditions. For example with increased tension in the middle east and eastern europe there is less travel to those regions. Demand is fairly elastic because there are so many alternatives to airbnb that if their prices aren't competitive consumers will go elsewhere. Airbnb is extremely well prepared to take advantage of changes in demand because they are such an asset-light company. It can expand supply quickly by attracting more hosts and by already having the strong host network in place that they currently have. Airbnb can probably charge slightly above competitive market prices because of the brand recognition and loyalty that they have from customers. It is a very well trusted and recognized brand. Airbnb grows market shares through their network effect, meaning that more hosts attract more guests and more guests attract more hosts. Also operating on a global scale and offering unique experiences and a broad range of housing accommodation for short vacations or longer stays has helped airbnb grow their shares.

<https://www.keydatadashboard.com/blog/exploring-airbnbs-surge-key-growth-statistics-and-what-they-mean-for-property-managers>

- Costs are just as important to profit as revenue, and costs can change and be predicted just like revenues. What are the main costs for your company and how do they vary based on growth? Depending on the industry, you might consider labor market costs, cost of production inputs (raw materials, minerals, etc.) and other investments (factories, tankers, etc.). Combine your discussion of costs with your discussion of revenue and make a prediction about profit growth.

Airbnb has five main cost sections.

- Cost of revenue: \$1.88B in 2024
 - Because Airbnb doesn't have a tangible product, it sells most of its costs in the form of possessing fees, customer support infrastructure, and paying for the hosting and use of data for their app. These costs have gone up throughout the years, showing a growth in usership, driving these costs up 30%, 14%, and 10% in the past three years.
- Product development: \$2.0B in 2024
 - This is one of the main focuses for the company, as all of its sales run through the app/website. The company has specifically poured a lot of money into this rebuilding the website from the ground up so that it had an easier user interface and can handle more traffic. This cost should slow down as revenue keeps growing.
- Marketing: \$2.1B in 2024
 - As a company with other large competitors, advertising and marketing are incredibly important to keep their services relevant compared to the others. This cost will continue as time goes on.
- Other operation costs: \$1.3B in 2024
 - As Airbnb has grown, this sector has also grown. These costs include fraud detection and insurance, which will only continue as time goes on. As the company keeps growing and more houses are used, the number of

insurance claims will keep growing. It is growing but slower than revenues, which is a good sign.

- General and administrative: \$1.2B in 2024
 - This includes legal bills, HR, and other non-regular employee costs. As Airbnb grows it continually has legal battles with cities it starts in. Q4 2023, these expenses included around \$935M in nonrecurring tax withholding expenses and lodging tax reserves, which pushed that quarter's net loss. This distorts the companies' earnings and does not show the underlying company well.
- Final notes
 - Airbnb's annual operating expenses were up 1.79% from 2023 to 2024 while revenue grew roughly 12%. This expanding gap is a good sign for the companies' margins as they expand over time.

<https://www.sec.gov/Archives/edgar/data/0001559720/000155972024000032/abnb-20240930.htm>

<https://www.macrotrends.net/stocks/charts/ABNB/airbnb/operating-expenses>

<https://www.sec.gov/Archives/edgar/data/1559720/000119312524253103/d886752dex991.htm>

<https://news.airbnb.com/airbnb-q4-2024-financial-results/>

- Can the company alter its output (increase or decrease) easily, with changes in demand, or significant investment and/or lead time is required?

Airbnb is a strange company in this sense, as it doesn't really produce anything nor have a traditional output. So, in a way, Airbnb has no real way to respond to increased demand, as they rely on pre-existing properties for their rentals and do not build new ones themselves. However, although they are unable to keep up with the demand on the supply side, they can instead increase their prices in response to an uptick in demand (usually due to some sort of event). This allows them to move up along the demand curve, meaning they have the same total maximum consumers, but each of these consumers has a higher WTP, and thus it is more profitable for the company. If Airbnb were attempting to scale its supply, it would be a lengthy process requirement and significant investment. It would require a lot of marketing to convince new hosts to join Airbnb and keep them away from rivals. In a way, though, Airbnb already does this. If a consumer has an Airbnb account, the option to become a host is extended to them automatically and located in an easy-to-spot area on the website. Also, Airbnb has been

making it easier and easier to become a host by simplifying the process. Overall, though, in the short term, Airbnb would just raise prices, and in the long term, they would likely try to recruit more hosts in the area to better match an extended demand. But, given that most demand increases for Airbnb are only for the short term (events, celebrations), there is no real reason for them to invest in recruiting hosts from a specific area, as once the event is over (unless it is a repeating event), then the demand will heavily drop.

<https://www.airbnb.com/help/article/1168>

<https://uxdesign.cc/how-airbnb-attracted-close-to-a-million-new-hosts-in-2022-4a7811b24b3d>

- **Have you identified any significant external/macro forces or uncertainties that might affect the company's future performance?**
 - Airbnb faces several significant external and macroeconomic forces that could significantly affect its future performance, including (i) global economic conditions, (ii) fuel prices, (iii) regulatory and legal pressure, (iv) housing affordability, and (v) technology and cybersecurity risks.
 - Global Economic Conditions
 - Airbnb's entire business model revolves around consumer spending and willingness to travel. During periods of inflation, recession, or economic downturn, potential consumers may have to reduce vacation spending, or be unable to travel at all.
 - Fuel prices
 - Building off of economic conditions, fuel prices (especially affected by the 2026 Iran War) heavily affect aircraft travel prices, which can cause travel to become too expensive for consumers.
 - Regulatory and legal pressure / rent control
 - Governments in New York City, Barcelona, and Paris have implemented restrictions on Airbnb to combat housing shortages, implementing restrictions through zoning laws, taxes, and licensing requirements. Tighter regulations ultimately reduces the number of listings available in major destinations and thus decreases the amount of potential customers.
 - Housing affordability

- Airbnb currently faces criticism that short-term rentals contribute to rising housing costs and reduced housing in urban markets. This negative perception can pressure policy-makers in government to create further rent control policies.
- Technology and cybersecurity risks
 - Given Airbnb's platform is only digital, it depends heavily on its app and website, and data security systems. Any cyberattack, data breach, or platform outages could severely impact the reputation of the company and lead to fewer bookings.

Deliverable: Please, upload a written document that contains a series of bullet points addressing the questions listed. These bullet points should support the narrative underlying key financial forecast assumptions in your model.